The Low Validity of Other Interpretations

In my opinion, all other long term wave counts are erroneous. Although most of the Elliott Wave analysis that crosses my desk from subscribers and others is quite competent and even insightful, there has been a proliferation of unsound analysis in recent years. "Elliott Wave" articles calling for a continued advance to "Dow 10,000" and even "Dow 100,000" have been published. However, such targets are merely a reflection of the market psychology typical of major tops. *Elliott Wave Principle* made the basic point seventeen years ago, when the Dow was in the 800-900 range:

> With the DJIA in a persistent downtrend until just recently, pervasive pessimism has worked to produce several distorted "Elliott" interpretations that call for a calamitous decline to emerge from what is only a Primary second wave correction. Targets below 200 DJIA have been forecast for the near future by taking Elliott's principles and twisting them into pretzels. [Note: the same phenomenon recurred in 1984.] To such analyses, we can only quote Charles Collins from the 1958 Elliott Wave Supplement to the *Bank Credit Analyst*: "Whenever the market gets into a bear phase, we find correspondents who think that 'Elliott' can be interpreted to justify much lower prices. While 'Elliott' can be interpreted with considerable latitude, it still cannot be twisted entirely out of context."

When the market is in a bull phase and nearing a peak, as it is now, the same phenomenon occurs and the same observation applies, but in the opposite direction. The best interpretation of the data says that the Dow will not continue to 10,000 without first falling to one-tenth that level or lower.

The Comparative Uncertainty in Forecasting the Path of a Corrective Pattern

The scenarios displayed in Figure 5-4 are the most likely candidates for wave Four. Indeed, I would say that they are the *only* candidates were it not for the experience of 1987. In that year, an expanded flat correction was stretched so dramatically in terms of price and contracted so dramatically in terms of time that there is no remotely comparable event in the stock price record.

Figure 5-7 shows what the Primary wave 4 correction of 1987 would look like at Grand Supercycle degree. Given an exact replica of wave 4 in 1987, this pattern would last 40 years (about ⅖ of the